BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.

Cases 25-E-0072 and 25-G-0073

May 2025

Prepared Testimony of:

Staff Rates Panel

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Department of Public Service

Q. Would the members of the Staff Rates Panel, referred to as the Panel, please state your names, employer, and business address?

A. We are Alexander Yodashkin and Stephan Smith. We are employed by the New York State Department of Public Service, referred to as the Department. Our business address is 90 Church Street, Fourth Floor, New York, New York 10007.

Q. Mr. Yodashkin, what is your position in the Department?

A. I am a Utility Engineering Specialist 2 in the Downstate Rates and Tariffs section of the Office of Rates and Tariffs.

Q. Please briefly describe your educational background and professional experience.

A. I attended the State University of New York at Binghamton and graduated in 2018 with a Bachelor of Science degree in Mechanical Engineering. I was hired as a Utility Engineering Specialist 1 in the Downstate Rates and Tariffs section of the Office of Electric, Gas and Water in November of 2019. I was promoted to a Utility Engineering Specialist 2 in the Downstate Rates and Tariffs section of the Office of Rates and

Tariffs in September of 2024.

Q. Please describe your duties in the Office of Rates and Tariffs.

A. During my time with the Department, I have worked on revenue price-out models, rate design, revenue allocation, and various additional rate-related matters. My current duties include the engineering analyses of electric, gas, steam and water utility rates, pricing, and tariff filings. In addition, I am a supervisor in the Downstate Rates and Tariffs section.

Q. Have you previously provided testimony in cases before the Public Service Commission, referred to as the Commission?

A. Yes. I have testified regarding electric and gas revenue price-outs, rate design, and revenue allocation in numerous rate proceedings, including: Cases 20-E-0380 and 20-G-0381 for Niagara Mohawk Power Corporation d/b/a National Grid; Cases 22-E-0064, 22-G-0065, and 22-S-0659 for Consolidated Edison Company of New York, Inc.’s, (Con Edison or the Company); and Cases 24-E-0060 and 24-G-0061 for Orange and Rockland Utilities, Inc.

Q. Mr. Smith, what is your position at the Department?

A. I am a Utility Engineering Specialist 1, currently assigned to the Downstate Rates and Tariffs section of the Office of Rates and Tariffs.

Q. Please provide a summary of your educational background and professional experience.

A. I graduated from City College of New York with a Bachelor of Engineering Degree in Chemical Engineering with minors in Mathematics and Chemistry in June 2018. While in college, I worked for the City University of New York Research Foundation in the City College Center for Discovery and Innovation Biochemistry Laboratory for three years. In this position, I conducted scientific research, data analysis, prepared reports and made recommendations regarding experimental design and procedures, and process improvements. In 2017, I interned at the National Institute of Standards and Technology in the Engineering Laboratory Indoor Air Quality and Ventilation Department. During this internship, I conducted scientific

research, data analysis, prepared standard operating procedures, reports and made recommendations regarding experimental design and procedures, and process improvements. I began working at the Department on December 12, 2019. While working for the Department, I received a Master of Engineering degree in Engineering Management from the State University of New York at Buffalo, Department of Industrial and Systems Engineering, in June 2022.

Q. Mr. Smith, what are your duties at the Department?

A. My duties include reviewing utility gas and electric statements, tariff proposals, revenue forecasts, revenue price-outs, operation and maintenance expenses, cost of service studies, revenue allocation and rate design proposals, conducting analyses and then drafting reports, memoranda, and/or testimony regarding my findings.

Q. Have you previously testified before the Commission?

A. Yes, I have provided testimony on rate design, revenue allocation, cost of service studies,

Revenue Decoupling Mechanism, net plant-in-service, depreciation, and other rate making issues. I have testified in rate proceedings for Corning Natural Gas Corporation in Cases 20-G-0101, 21-G-0394, and 24-G-0447; rate proceedings for Con Edison in Cases 22-E 0064, 22-G-0065, and 22-S-0659; rate proceedings for Liberty Utilities (New York Water) Corp. in Case 23-W-0235; and in rate proceedings for Orange and Rockland Utilities, Inc. in Cases 24-E-0060 and 24-G-0061. I have also provided testimony on emerging contaminants in an acquisition case related to New York American Water Company, Inc. and Liberty Utilities (Eastern Water Holdings) Corp. in Case 20-W-0102.

Overview

Q. Panel, what is the purpose of your testimony?

A. Our testimony addresses Con Edison's rate proposals for the Rate Year, or the twelve months ending December 31, 2026. We will discuss the following: (1) the electric and gas delivery revenues at current rates for the Rate Year; (2) the cost of service studies that support revenue allocation, rate design, and

unbundled rates for competitive services; (3) the revenue allocation; (4) the Rate Year rate design including electric standby rates and gas non-firm demand response rates; (5) the bill impacts of our recommended rates; (6) the Merchant Function Charge (MFC); (7) billable demands; (8) electric line losses; and (9) tariff provisions.

Q. In your testimony, will you refer to, or otherwise rely upon, any information obtained during the discovery phase of these proceedings?

A. Yes, our testimony will refer to and otherwise rely upon the Company's responses to information requests (IRs). These responses are contained in our Exhibit___(SRP-1). We will refer to these IR responses by the designation given when sent, for example, DPS-123.

Q. Is the Panel sponsoring any other Exhibits?

A. Yes. We are sponsoring four additional exhibits. Exhibit___(SRP-2) contains Staff's electric and gas volumes and revenues for the Rate Year at current rates; Exhibit___(SRP-3) contains our gas and electric revenue allocations; Exhibit___(SRP-4) contains our gas

and electric current and recommended rates; and Exhibit___(SRP-5) contains our calculated bill impacts at various levels of consumption.

Revenues at Current Rates

Electric Revenue Price-out

Q. Has the Panel reviewed the Company's forecasted Rate Year electric revenues at current rate levels?

A. Yes. Based on its Rate Year sales forecast of 53,229 gigawatt hours (GWhs) the Company forecasted collecting $7.622 billion in delivery revenues during the Rate Year at current rate level, as shown in Exhibit___(EFP-7), page 3, column 6. In its update and corrections filing, the Company forecasts 53,319 GWhs in sales and $7.592 billion in delivery revenues for the Rate Year at current rates, as shown in Exhibit___(EFP-15), page 2, column 6. The proposed $7.592 billion in delivery revenue at current rate excludes System Benefit Charge, Arrear Phase Carrying Charge Revenue, and other surcharges. The current rates were established by the Commission in the Order Adopting Terms of Joint Proposal and Establishing Electric and Gas

Rate Plans with Additional Requirements issued on July 20, 2023, in Cases 22-E-0064 and 22-G-0065 (2023 Rate Order).

Q. What types of revenue are included in the Company's revenue price-out model.

A. The delivery revenue forecast consists of non-competitive and competitive delivery revenues, and reactive power revenue.

Q. What are non-competitive revenues and how does Con Edison determine them?

A. The non-competitive delivery revenues are revenues from customer charges, energy and demand delivery rates. The non-competitive delivery revenues were estimated by month and by service classification. For all classes that have customer charges, those customer charges were multiplied by the number of customers for each class. Pricing equations were used to derive a monthly average for transmission and distribution (T&D) revenue of each class. For energy billed only service classes, the equations correlate historical T&D billed revenue to the monthly volume of the class, the number of billing days, and summer/winter rate

differentials. For demand metered classes, a demand pricing equation was also developed. The Company's pricing model is based upon historical data for the period from February 2015 through January 2017. The Company priced out these revenues for Con Edison customers, as well as New York Power Authority customers, which, when combined, make up the total base T&D revenues.

Q. What are competitive revenues and how does Con Edison determine them?

A. The competitive delivery revenues are composed of the MFC and the Billing and Payment Processing charge (BPP). The BPP charge revenues were developed by applying the BPP rate per bill by the forecasted number of bills. The BPP rate used was established in the 2023 Rate Order. The MFC revenues represent the supply procurement and the credit and collection related charges. The MFC revenues were calculated by multiplying the forecasted sales delivery volumes for full-service customers by the current MFC rate approved in the 2023 Rate Order.

Q. Please describe the Panel's price out

methodology.

A. The Panel used the Company's revenue price out model to determine the revenue at current rates because it was not practical for us to price out the Rate Year forecast at current rates. It was not practical as the Company does not provide an electric forecast broken-down into all of the necessary components, that is, all of the rate blocks for the various subclasses within service classes. The Panel received a number of inputs for the revenue forecasting model from the Staff Sales Forecasting Panel (SSFP) that included the customer and energy forecast, demand side management (DSM) adjustment for energy and demand, lost sales due to solar generation, and the gain from electric vehicles. The SSFP also provided a New York Power Authority (NYPA) forecast that differed from the Company's forecast and those inputs were used by the Panel in the NYPA revenue model to forecast NYPA revenue.

Q. Does the SSFP recommend a different sales forecast for the Rate Year than the Company?

A. Yes. The SSFP recommends a sales forecast of

53,867 GWhs, which is 548 GWh higher than the Company's updated sales forecast.

Q. What were the results of pricing out the SSFP's electric sales forecast using the revenue price-out model?

A. The Panel's forecasted base delivery revenues are $7.625 billion for the Rate Year, or approximately $0.033 billion more than the Company's revenue forecast. Exhibit___(SRP-2), Schedule 1 contains a summary of Staff's recommended forecasted sales and associated revenues. We have provided the price-out of the increase in sales to the Staff Accounting Panel.

Gas Revenue Price-out

Q. What did the Company propose as its total gas delivery revenues during the Rate Year at current rates?

A. Based on its Rate Year sales forecast of 1.656 billion therms in its April 10, 2025 update and corrections filing, the Company forecasts a non-competitive gas delivery revenue amount of $2.249 billion at current rates, as indicated in Exhibit___(GFP-7). The proposed total gas revenue at current rates, excluding the System

Benefits Charge, Gas Cost Factor, Revenue Taxes, and Other Charges, is $2.269 billion.

Q. What components of revenue were included in the total gas delivery revenue presented by the Company?

A. As detailed in Exhibit___(GFP-7), the total delivery revenues are comprised of two sub-categories, non-competitive and competitive revenues.

Q. What revenues did the Company include in its firm revenue forecast?

A. The firm revenue forecast is comprised mainly of customer delivery revenues and purchased gas costs. The delivery revenues are further broken into competitive and non-competitive line items. The competitive revenues reflect associated BPP, MFC Supply, and MFC Credit and Collections revenues in the Rate Year. The non-competitive revenues reflect the associated minimum charge and volumetric block revenues in the Rate Year.

Q. What revenues did the Company include in its non-firm revenue forecast?

A. The Company’s non-firm revenues were developed from throughput projections of its non-firm

customers and historical revenues. These volume projections are described in further detail on pages 19 and 20 of the Company's Gas Forecasting Panel testimony.

Q. Does the Panel recommend using a different sales forecast for its price-out?

A. Yes. We recommend using the gas sales forecast of 1.709 billion therms provided by Staff's Sales Forecasting Panel, which is 48.3 million therms more than the Company's forecast from the update and corrections filing.

Q. What total delivery revenue do you recommend for the Rate Year?

A. We recommend $2.324 billion in delivery revenue, which is $55.2 million more than the Company's forecast from the update and corrections filing. Our recommended total gas delivery revenue price-out is described in detail in Exhibit___(SRP-2), Schedule 2.

Embedded Cost of Service Studies

Q. Please briefly describe the purpose of an Embedded Cost of Service (ECOS) study.

A. The purpose of an ECOS study is to provide a comparative analysis of the cost of providing

utility services to each service class and the rate of return for each class. A historic ECOS study is based on an analysis of the rate base, operating expenses, and revenues of a historic 12-month period. An ECOS study has three major steps: functionalization, classification, and allocation.

Q. Please explain the three major steps.

A. Functionalization is the process of assigning the Company's rate base and expense items to specific utility operating functions, generally, transmission, distribution, and customer. Classification is used to further define the functionalized rate base and expense items into demand, energy, and customer components. The final step, allocation, assigns the components to customer classes consistent with the costs that the class imposes on the utility.

Q. Please describe the primary output of the Company's ECOS study.

A. The primary output of the ECOS study is the rate of return for each individual customer class and for the system as a whole. The rate of return for a class is an effective way to measure how

well the class revenues align to the Company's costs to provide service to that particular customer class.

Q. What is a "tolerance band" and why is it used?

A. A tolerance band is a certain percentage above and below the system average rate of return. In this instance, the Company uses a ten percent band for both electric and gas. A service class is considered deficient or in surplus if its specific rate of return falls outside the ten percent tolerance band. The purpose of a tolerance band is to account for the imprecise nature of an ECOS study.

Q. How did the Panel use the ECOS study in these proceedings?

A. Since there are many assumptions used in the development of a study of this nature, we used the ECOS study as a tool to aid in the revenue allocation and rate design process.

Electric ECOS Study

Q. Did the Company submit an electric ECOS study in the electric case?

A. Yes, the Company submitted the calendar year 2023 ECOS Study as Exhibit___(DAC-2) in the

Demand Analysis and Cost of Service Panel (DAC) testimony.

Q. Please describe the results of the Company's 2023 ECOS study.

A. The total system rate of return was determined to be 10.71 percent. Con Edison's service classes' total rate of return is 10.96 percent, and NYPA's rate of return is 8.82 percent. The ECOS study indicates that the following service classes fall within the ±10 percent tolerance band: Service Class 1 - Residential & Religious, Service Class 2 – General Small, Service Class 8 - Multiple Dwellings – Redistribution Non-Time-of-Day and Time-of-Day, Service Class 9 – General Large Time-of-Day, and Service Class 12 - Multiple Dwellings – Space Heating Time-of-Day. The rates of return for Service Class 9 – General Large Non-Time-of-Day, Service Class 12 - Multiple Dwellings – Space Heating Non-Time-of-Day, and Service Class 13 - Bulk Power Time-of-Day are in surplus by a combined $28.40 million. The rates of return for Service Class New York Power Authority, Service Class 5 – Electric Traction Non-Time-of-Day and Time-of-

Day, Service Class 6 – Public and Private - Street Lighting and Signal, and Service Class 16 – Steam Department Electric Facilities are deficient by a combined $47.80 million.

Q. Has the Company made any methodological changes to its ECOS study since the last electric rate proceeding for the Company, Case 22-E-0064?

A. No.

Q. What is the Panel's position regarding the Company's electric ECOS study in this rate case?

A. Overall, the ECOS study is reasonable, and we recommend that the Commission adopt the results of the Company's 2023 ECOS study.

Gas ECOS Study

Q. Did the Company prepare a gas ECOS study for this gas proceeding?

A. Yes, the Company's gas ECOS study is detailed in Exhibit___(GRP-1) of the Company's Gas Rate Panel testimony. The Company's ECOS study is a historical analysis of the 2023 rate base, operating expenses, and revenues, which are then functionalized and applied to the customer sales of the historic 12-month period ending December 31, 2023 at the current rates effective on

January 1, 2025. The study analyzes costs and revenues for Con Edison's firm service classes: Service Class 1 – Residential and Religious Firm Sales Service, Service Class 2 – General Firm Sales Service Rates I and II, and Service Class 3 – Residential and Religious – Heating Firm Sales Service. Service Class 3 is divided into two subcategories: buildings with 1-4 dwelling units and buildings with more than four dwelling units.

Q. Has the Company made any methodological changes to its ECOS study since the last gas rate proceeding for the Company, Case 22-G-0065?

A. Yes. Service Class 3 was not previously divided into buildings of 1-4 and more than four dwelling units. This was done because on page 72 of the Joint Proposal approved in the 2023 Rate Order, the Company is required to propose in its next rate case filing the establishment of separate rates structures for Service Class 3 customers with buildings of 1-4 dwelling units and customers with buildings of more than four dwelling units based on the gas ECOS Study to be filed in that case.

Q. What were the results of the Company's gas ECOS study?

A. The total system rate of return was determined to be 8.49 percent. The ECOS study indicates that the total revenue for Service Class 1 – Residential and Religious Firm Sales Service (SC 1), is in surplus by $32,462,374; Service Class 2 – General Firm Sales Service Rate I (SC 2) Rate I, is in surplus by $25,398,199; and Service Class 3 – Residential and Religious – Heating Firm Sales Service with more than four dwelling units (SC 3 (>4)), is in surplus by $238,679,587. Service Class 2 – General Firm Sales Service Rate II, or SC 2 Rate II, is deficient by $13,630,027 and Service Class 3 – Residential and Religious – Heating Firm Sales Service with 1-4 dwelling units, (SC 3 (1-4)), is deficient by $265,811,566. The surplus is the amount of revenue, at current rates, by which these service classes exceed the upper level of the tolerance band around the system rate of return. The deficiency is the amount of revenue, at current rates, by which these service classes fall short of the lower level of

the tolerance band around the system rate of return. None of the Company's firm service classes or subclasses fall within the ±10 percent tolerance band. Table 1, Page 1, Line 17 of the Company's gas ECOS study in Exhibit___(GRP-1) details the class rates of return as follows: SC 1 has 11.62 percent, SC 2 Rate I has 11.69 percent, SC 2 Rate II has 7.07 percent, SC 3 1-4 has 2.74 percent, and SC 3 >4 has 16.56 percent.

Q. Does the Panel agree with the Company's gas ECOS study?

A. Yes, the ECOS study produced results that can be viewed as a reasonable guideline for applying necessary revenue increases or decreases among the service classes specified in the study. Thus, the results of the study can be used as a basis for allocating future revenues among the various service classes.

Revenue Allocation

Electric Revenue Allocation

Q. Please explain the Company's revenue allocation process.

A. There are several steps to the revenue

allocation process as described on pages 8-19 of the Company's Electric Rate Panel initial testimony. First, the Company removed gross receipts taxes revenue of $46.1 million from its proposed incremental $1,611.6 million revenue requirement. Next, the Company allocated a $78.6 million increase in the retained generation of the Monthly Adjustment Clause (MAC) a $19.2 million increase in purchased power working capital and a $11.2 million increase related to the Company's Accounting Panel and Customer Energy Solution Panel's energy efficiency proposals in addition to the net T&D revenue increase. Finally, the Company increased the incremental revenue requirement by $46.0 million related to the additional discount for low-income program and $0.5 million related to the reconnection fees waiver for low-income program. These result in a proposed T&D rate increase of 19.3 percent based on the Company's price out.

Q. How did the Company allocate the retained generation component of the MAC and purchase power working capital to the service classes?

A. As stated in the initial testimony of the Electric Rate Panel on page 9, the increase in the retained generation component of the MAC is allocated to Con Edison full service and retail access customers. The increase in purchased power working capital is allocated to Con Edison full-service customers.

Q. How did the Company allocate the energy efficiency costs?

A. The Company allocated the increased energy efficiency costs based on the kilowatt-hour, or kWh, sales to full service and retail access customers.

Q. Please describe how the Company allocated the adjusted net revenue increase to its service classes.

A. Con Edison realigned the Rate Year delivery revenues at current rate levels for each service class to reflect the deficiencies and surpluses identified in the ECOS study. Next, the Company allocated the adjusted net delivery revenue increase among the service classes in proportion to the relative contribution made by each class to the realigned total Rate Year delivery

revenues. The Company then reviewed, by service class, the combined impact of eliminating all deficiencies or surpluses and allocating the adjusted net revenue increase on each service class. The Company found that, when coupled with the allocated adjusted net revenue increase, fully eliminating all of the deficiencies and surpluses resulted in a relatively large revenue impact for several service classes.

Q. How did the Company mitigate the large impacts for several of its service classes?

A. To address the need to eliminate the surpluses and deficiencies, while considering customer bill impacts, the Company applied one-third of the class-specific deficiency and surplus indications from the ECOS study in a revenue neutral manner prior to applying the delivery revenue increase.

Q. Did the Company explain its proposal for applying one-third of the deficiencies and surpluses?

A. Yes. In the Electric Rate Panel's initial testimony, page 11, lines 7-14, the Company

proposes to apply one-third of the deficiencies and surpluses each year over a three-year period. The Company indicates that the imbalances would be fully eliminated should the Commission adopt a three-year rate plan.

Q. Does the Panel agree with the Company's phased approach to eliminating the revenue surpluses and deficiencies?

A. We agree with the Company's approach to balance the objectives of minimizing revenue/cost imbalances while mitigating customer bill impacts. However, we disagree with realigning the revenue surpluses and deficiencies by one-third in the Rate Year.

Q. Why does the Panel disagree with realigning the revenue surpluses and deficiencies by one-third in the Rate Year.

A. In its response to DPS-632 the Company states that no specific analysis was done to determine the proposed one-third used to realign revenues, the one-third approach used is consistent with past practices in multi-year settlements, and it supports a gradual approach to balancing ECOS study indications with mitigating bill impacts.

We disagree that selecting the one-third approach simply because it was done in the past is a sound rationale. Based on the magnitude of the Staff's recommended revenue requirement in this proceeding and the concern about affordability, we recommend realigning the revenue surpluses and deficiencies by one-fourth in the Rate Year to allow a more gradual approach and to further mitigate bill impacts.

Q. Has the Panel prepared a revenue allocation calculation?

A. Yes. The Panel performed a revenue allocation calculation using the same methodology the Company presented in its filing but using Staff's recommended electric revenue requirement increase of $319.2 million, as provided by the Staff Accounting Panel.

Q. What is the impact of the Staff Accounting Panel's recommended increase to the electric revenue requirement?

A. The recommended $319.2 million increase to the electric revenue requirement results in a 3.6 percent increase on total delivery revenues, or about a 2.2 percent increase on total revenues.

Our electric revenue allocation is presented in detail in Exhibit___(SRP-3), Schedule 1. The recommended T&D percentage increases for each service class are shown in the right most column in Exhibit___(SRP-3), Schedule 1, titled "RY1 Total T&D Rate Increase % (RY1 vs. Current)".

Gas Revenue Allocation

Q. Did the Panel review the Company's proposed revenue allocation among the service classes?

A. Yes.

Q. Please briefly describe the Company's process for allocating the proposed revenue increases to each service class.

A. The Company's revenue allocation methodology is described in detail beginning on page 19 of the Gas Rate Panel's initial testimony. In short, the Company's Accounting Panel developed a proposed revenue increase of approximately $440.522 million, inclusive of revenue taxes, and then applied two adjusting factors. First, the dollar portions associated with tax related revenues, totaling in approximately $12.679 million, were removed. Second, an upward adjustment was made to offset the increase in

credits projected to be paid to low-income customers in the Rate Year, an increase of approximately $7.588 million. After incorporating these adjustments, the Company's total revenue requirement is approximately $435.431 million, a 19.19 percent increase in delivery revenues.

Q. Does the Company propose any changes to the service classes between which the revenue requirement is allocated when compared to its filing in Case 22-G-0065?

A. Yes. As discussed before, Con Edison proposes the establishment of separate rates structures within Service Class 3 – Residential and Religious – Heating Firm Sales Service. In previous rate proceedings, the entirety of Service Class 3 received a single surplus/deficiency allocation and operated under a single rate design. In this proceeding, the Company treated SC 3 (1-4) and SC 3 (>4) as separate classes in the ECOS study, just as the Company does for SC 2 Rate I and SC 2 Rate II. The Company's revenue allocation, rate design, and bill impacts reflect the separated Service

Class 3; SC 3 (1-4) is referred to by the Company as SC 3 Rate I and SC 3 (>4) is referred to by the Company as SC 3 Rate II.

Q. Please describe the methodology the Company used to allocate the proposed revenue increase to each service class.

A. First, the Company adjusted its Rate Year bundled delivery revenues at current rates to account for service class surpluses and deficiencies in line with what was proposed in the Company's ECOS study.

Q. Did the Company apply the full amount of the surpluses and deficiencies proposed in its ECOS study?

A. No. The Company reviewed the impact of applying the full amount of the ECOS surpluses and deficiencies on each service class and concluded that applying all of the surpluses as stated in the ECOS study would create large revenue impacts to customers within Service Class 2 – General Firm Sales Service Rate II and Service Class 3 – Residential and Religious – Heating Firm Sales Service Rate I, both of which are deficient based on ECOS indications.

Q. How did the Company handle the potential revenue impacts to customers within Service Class 2 – General Firm Sales Service Rate II and Service Class 3 – Residential and Religious – Heating Firm Sales Service Rate I?

A. To mitigate potential revenue impacts to specific gas service classes, the Company applied one-sixth of the specified surpluses and deficiencies indicated from the ECOS study. This approach allows the Company to fully eliminate the surpluses and deficiencies over an extended period of six years and minimize impacts to customer bills.

Q. What is the next step in the Company's revenue allocation process?

A. The Company then applied the percentage of delivery revenue increase, 19.19 percent, to the adjusted Rate Year bundled delivery revenues at current rates described above to develop the necessary delivery rate increase per service class. After computing the non-competitive portion of the revenue increase per service class, the Company next calculated the competitive revenue increases or decreases in

the Rate Year. The BPP portion of competitive revenues was allocated based on each Service Class's projected number of bills, while the MFC portion was allocated based on the projected number of therms used.

Q. Does the Panel agree with the Company's revenue allocation methodology?

A. Partially. We agree with the Company's decision to use a ±10 percent tolerance band around the total system rate of return to calculate the surpluses and deficiencies between service classes, but we recommend that the Commission spread the surpluses and deficiencies over nine years. Additionally, we note that the Company's proposal to split Service Class 3 into SC 3 Rate I and SC 3 Rate II is compliant with the Commission's directive in Case 22-G-0065.

Q. Why does the Panel recommend increasing the period over which the surpluses and deficiencies are spread to nine years?

A. Spreading the surpluses and deficiencies over nine years will help mitigate rate shocks for the SC 3 Rate I customers, who have a significant deficiency of $276,425,939 following

the splitting of SC 3 into Rate I and Rate II. The nine-year period would help mitigate the bill impacts for these customers while continuing to work toward the goal of gradually eliminating surpluses and deficiencies between rate classes.

Q. Compared to the Company's methodology, did the Panel make any other changes to its revenue allocation methodology?

A. We used the Company's revenue allocation methodology but applied only one-ninth of surplus/deficiency indications. We then applied the gas revenue requirement increase provided by the Staff Accounting Panel and used Staff's price out that is based on the Staff Sales Forecasting Panel's gas sales forecast. As stated in the Staff Accounting Panel direct testimony, Staff recommends a $45.46 million decrease to the gas revenue requirement, which results in a 1.6 percent decrease in total gas delivery revenue, or about a 1.1 percent decrease to total revenues. Our gas revenue allocation is presented in detail in Exhibit___(SRP-3), Schedule 2.

Rate Design

Electric Rate Design

Q. Has the Panel reviewed the Company's proposed rate design.

A. Yes.

Q. Did the Company propose any changes to the customer charges?

A. In general, the Company proposes to increase customer charges based on the indications from the ECOS study.

Q. What does the Company propose regarding increases to the minimum customer charges?

A. As discussed in the Company's Electric Rate Panel testimony, page 24, lines 16-22 and page 25, lines 1-2, the Company proposes: 1) to set Service Class 1 - Residential & Religious Rate IV customers charge to match the SC 1 customer cost indicated in its ECOS study, which is a $5.00 increase in customer charge; 2) a $3.00 increase in the customer charges for SC 1 Rates I, II and III customers; 3) a $5.00 increase in customer charges for Service Class 2 – General Small Rate I and Rate II; and 4) a $10.00 increase in customer charge for Service Class 6

- Public and Private Street Lighting customers. For SC 2 Rate I unmetered service, the Company proposes to acknowledge the exclusion of metering costs by setting the customer charge $3.79 less than the customer charge for SC 2 Rate I metered service. The Company proposes to continue to reduce SC 2 Special Provision D customer charge by 50 percent of the SC 2 Rate I metered customer charge.

Q. Why did the Company propose to continue to reduce SC 2 Special Provision D customer charge by 50 percent of the Sc 2 Rate 1 metered customer charge?

A. In its response to DPS-1043 the Company states that it proposes to continue to reduce SC 2 Special Provision D customer charge by 50 percent of the SC 2 Rate 1 customer charge, because the reduction is required pursuant to the Commission's Order Directing Filling of a Proposed Tariff in Case 99-E-1487.

Q. Panel, please continue your discussion regarding the Company's minimum charges proposal.

A. In addition, the Company proposes to simplify energy only billed Service Class 12 - Multiple

Dwellings Rate I by adding a new customer charge, eliminating the first 10 kWh rate block, and establishing a single per kWh rate for summer and non-summer periods.

Q. How does the Company determine its proposed new customer charge for energy only billed SC 12 – Multiple Dwellings Rate 1?

A. The Company's Electric Rate Panel discusses this on page 26, lines 7-14 of its initial testimony. The Company first subtracts the product of 10 kWh and the current charge for usage over 10 kWh, for summer and non-summer periods, from the current minimum energy charge to get the new current customer charges for summer and non-summer periods. Second, the Company takes the sum of the product of the new current summer customer charge and four summer months, plus the new current winter customer charge and eight winter months. The Company divides this total by the twelve months in the year to get its proposed new current customer charge for summer and non-summer periods. Third, the Company uses the product of its proposed new customer charge and its proposed SC 12 Rate I adjusted non-

completive T&D delivery percent rate change to get its $21.00 proposed new customer charge.

Q. What does the Panel think about the Company's proposal to add a new customer charge to SC 12 energy-only, eliminate the first 10 kWh block rate, and establish a single per kWh rate for each of the summer and non-summer periods.

A. We disagree with the proposed new customer charge and the per kWh rates for each summer and non-summer periods. We recommend application of Staff's lower revenue requirement, resulting in a customer charge of $19.00 or $2.00 lower than what the Company proposes, and lower per KWh rates for each of the summer and non-summer periods.

Q. Does the Panel disagree with the customer charges proposed by Con Edison?

A. We disagree with the proposed level of customer charges for the residential and small commercial service classes.

Q. What then, is your recommendation regarding the customer charges for: SC 1 Rate I, II, and III; SC 2 Rate I and II; and SC 6?

A. Similar to the Company's proposal, we recommend

increasing the customer charges for SC 1 Rates 1, II and III; SC 2 Rate I and II; and SC 6 by an amount proportional to the class revenue increase, and then rounding down to the nearest whole dollar amount. The Staff gas revenue requirement increase discussed in the testimony of the Staff Accounting Panel of $319.2 million results in an increase for SC 1, SC 2 and SC 6 by 3.3 percent, 3.3 percent and 7.5 percent, respectively. Applying these percentage increases to the current customer charges produces the following increases: SCs 1 Rate I, Rate II, Rate III increases from $20.00 to $21,00; SCs 2 Rate 1 and Rate II increases from $33.00 to $34.00; and SC 6 increases from $47.00 to $51.00. The current and recommended rates are summarized in Exhibit___(SRP-4), Schedule 1.

Gas Rate Design

Q. Did the Panel review the Company's rate design proposal for the Rate Year?

A. Yes.

Q. Please briefly describe the Company's rate design proposal.

A. The Company employs two steps to develop its rate design proposal as described on pages 26-28 of the Gas Rate Panel initial testimony. First, an amount of the incremental revenue increase is applied to be collected through the minimum charge. The remaining amount of incremental revenue is proposed to be collected through the volumetric block rate structure.

Q. Please describe the Company's proposal to increase the minimum charge revenue for specific service classes in more details.

A. Generally, the ECOS study provides a mathematical derivation of monthly customer costs by service class which is typically used as a guide to determine the necessity for increasing or decreasing these monthly charges. Table 6, Page 1, Line 14 of the Company's ECOS study shows computed monthly customer costs of $33.66 for Service Class 1 – Residential and Religious Firm Sales, $99.84 for Service Class 2 – General Firm Sales Rate I, $174.50 for SC 2 Rate II, $165.70 for SC 3 (1-4), and $348.07 for SC 3 (>4). The Company proposes the following increases to customer charges: increase the SC 1

customer charge from $33.23 to $38.73; increase the SC 2 customer charge from $47.00 to $57.00 for both Rate I and Rate II customers; increase the SC 3 Rate I customer charge from $32.00 to $40.00; and increase the SC 3 Rate II customer charge from $32.00 to $60.00. Con Edison's proposed customer charge for SC 1 is higher than the ECOS study calculated monthly customer costs. This is because most SC 1 customers use fewer than five therms per month and the vast majority of the SC 1 delivery revenue is associated with the minimum charge. Therefore, applying the revenue increase solely to the volumetric charge would disproportionately affect customers using greater than five therms per month.

Q. Do you agree with the Company's proposal?

A. No.

Q. What do you recommend the Commission do regarding the minimum charge increase?

A. We recommend reducing the proposed SC 1 customer charge from $33.23 to $32.00, keeping SC 2 Rate I, SC 2 Rate II and SC 3 Rate I customer charges constant at $47.00, $47.00, and $32.00,

respectively, and increasing the SC 3 Rate II customer charge from $32.00 to $36.00. These recommended customer charge changes reflect the impact of the negative revenue requirement provided by the Staff Accounting Panel. Due to SC 1 having only one rate block, the proposed decrease in the class's revenue is reflected in the customer charge by applying the decrease on a percentage basis and rounding to the nearest whole number. If the Commission ultimately determines an overall increase in gas delivery revenue, the Panel still recommends limiting the customer charge increase for SC 1 to no more than $33.66, which matches the costs for supplying service to this class, as indicated in the ECOS study. Increasing the customer charge above ECOS study indications would result in the majority of the class unfairly subsidizing a small subset of high users in the SC 1 class. According to the bill frequency data provided by the Company in Exhibit___(GRP-4), only 6,131 of the 5,938,946 monthly bills issued to SC 1 customers in 2023 were for greater than 200 therms of usage, and only 162 of these bills

were for greater than 1,000 therms.

Q. Does the Panel have any further recommendations pertaining to SC 1 customers?

A. Yes. The Panel recommends that the Company investigate the viability of moving the few high users in SC 1 into another rate class such as SC 3, and that the Company perform the necessary outreach to help facilitate such a shift. Homogenizing the SC 1 usage would help avoid the possibility of disparate bill impacts within the service class moving forward.

Q. Did the Company propose any rate design adjustments to other service classes besides those already mentioned?

A. Yes. The Company also proposes to increase the minimum charge for Service Class 13 – Seasonal Off-Peak Firm Sales Service (SC 13) from $80.57 to $98.00. This increase is commensurate on a percentage basis with the SC 2 minimum charge increase because SC 13 customers pay the same annual minimum charge over a seven-month period. Additionally, the Company proposes increases to the rates of its Distributed Generation (DG) customers, which are detailed beginning on page

29 of the Gas Rate Panel's initial testimony. Generally, the proposed DG volumetric rate increases are applied with similar percentage increases used to develop the volumetric rate increases for SCs 1, 2 and 3 we discussed earlier. Minimum charge increases are also proposed under Rider H - Distributed Generation Rate and Rider J - Residential Distributed Generation Rate corresponding to the increases proposed for their parent service classes. The Company also proposes updated discounts for customers commencing service under Rider D - Excelsior Jobs Program, on or after January 1, 2026. These proposals are outlined on Page 31 of the Gas Rate Panel's initial testimony.

Q. Do you agree with the Company's proposal for DG customers?

A. The Panel agrees with Company's methodology regarding DG customers, but we recommend keeping the SC 13 customer charge at $80.57, which is in line with our recommendation to maintain the SC 2 customer charge constant at $32.00.

Q. Please describe the Company's rationale and methodology for flattening the rate blocks for

SC 2 Rates I and II and SC 3 Rates I and II.

A. Block flattening is the process of eliminating the disparity in per-therm delivery rates between different volume blocks. At present, higher-usage customers taking service under SC 2 Rates I and II and SC 3 have a lower per-therm delivery rate above specific usage thresholds. Reducing the disparity between these rates should encourage conservation, as doing so will remove the current economic benefits enjoyed by higher-usage customers. In Case 22-G-0065, the Company proposed to reduce the difference in block rates for all relevant service classes by 10-percent increments in a revenue-neutral manner, which would lead to equivalent delivery rates for all blocks after a 10-year period, and the Commission approved rates reflecting the first three years of this process. The Rate Year in this proceeding is year four of 10 of this effort. The Company proposes to continue flattening the rates in the three volumetric rate blocks in SC 2 Rates I and II and SC 3 Rate II. Con Edison also proposes to eliminate the third volumetric rate block for usage greater

than 3,000 therms in SC 3 Rate I, and to flatten the rates within the remaining two blocks.

Q. Does the Panel agree with the Company's proposal to continue the ten-year block flattening?

A. Yes.

Bill Impacts

Q. What are the Panel's electric bill impacts?

A. The electric bill impacts are contained in Exhibit___(SRP-5), Schedule 1. Additionally, the bill impacts for average monthly bills for SC 1, SC 2 and SC 9 are contained in Exhibit___(SRP-5), Schedule 2.

Q. What are the Panel's gas bill impacts?

A. The gas bill impacts are contained in Exhibit___(SRP-5), Schedule 3.

Q. Did the Panel estimate the bill impacts for low-income customers?

A. Yes. The low-income bill impact tables are shown in Exhibit__(SRP-5) Schedule 1 for electric and Schedule 3 for gas.

Q. Please explain the bill impact differences that result for a customer participating in the Energy Affordability Program compared to a non-participating customer.

A. The total bill increases result in a higher percentage for a customer participating in the Energy Affordability Program because the same increase is measured over a smaller total bill.

Merchant Function Charge (MFC)

Electric MFC

Q. Does the Company propose any changes to the electric MFC?

A. Yes. In its initial filing, the Company proposes $76,602,922 MFC for the Rate Year.

Q. Explain how the Company designed the supply and the credit and collections (C&C) related components.

A. The Company in Exhibit___(DAC-2), Schedule 2, page 2 determined the Rate Year C&C-related revenue requirement by applying 0.583 percent to the total Con Edison Rate Year T&D delivery revenue requirement at the proposal level. The 0.583 percent is associated with the total costs of the C&C-related component of the Merchant Function Charge to the total Con Edison transmission and distribution delivery revenues at current rates. The portion of the C&C-related to full-service customers through MFC is

allocated among SC 1, SC 2, and all other customers, based on the breakdown of relative class percentages for the full-service customers' portion of the C&C costs. The C&C-related portion of the MFC resulting revenue requirement was then divided by the respective Rate Year sales for full-service customers to obtain the cost per kWh C&C related component of the MFC.

Q. Does the Panel agree with the Company's proposed MFC of $76,602,922 for the Rate Year?

A. No. We updated the Company's MFC for the Rate Year to reflect Staff's recommended Rate Year revenue requirements and sales forecast. Based on this adjustment, we recommend an MFC of $9,908,344 lower than what the Company proposes for the rate year.

Tariff Modifications

Electric Tariff Modification

Q. Did the Company propose any changes to General Rule 15.2 of the Company Electric Tariff?

A. Yes, as stated on page 68 of the Company's Electric Rate Panel testimony, the Company proposes to continue the waiver of reconnection

charge for customers enrolled in the low-income program, up to an annual target amount of $2,136,512.

Q. Why did the Company propose to continue to waive reconnection charges for customers enrolled in low-income program?

A. In the initial testimony of the Customer Operations Panel, page 69, lines 9 to 11, the Company States that it proposes to continue the reconnection fee waivers for customers enrolled in its Energy Affordability Program to avoid burdening low-income customers who are struggling to pay their bills.

Q What does the Panel recommend?

A. Staff Consumer Services Panel addresses the elimination of the reconnection fee waiver program. We recommend that the Company's tariff be updated to indicate that reconnection fee is not applicable to low-income participants.

Electric Line Losses

Q. What are electric line losses?

A. Line losses are the loss of power, which is current multiplied by voltage, in an electric conductor during the distribution and

transmission phase, where power is converted in electrical wires from energy to heat energy and then dissipated as heat.

Q. Does the Company account for line losses when billing customers?

A. Yes, the Company accounts for line losses for supply in its bill calculation methodology for its Market Supply Charge for all customers who purchase supply from the Company, and customers billed under Rider M – Day-Ahead Hourly Pricing.

Q. Please explain the Company's current methodology for calculating line losses percentage and Factor of Adjustments (FOA).

A. As stated in the Electric Rate Panel initial testimony on page 70, line loss percentage is calculated by dividing the system losses by the system send out. To calculate the FOA, the Company first takes an average of the five years of loss percent ending calendar year 2023. Next, the Company divides the number one by a denominator that is one minus the five-year average line loss percentage computed, with the result of the calculation expressed as a decimal.

Q. Did the Company propose any changes to its FOA losses?

A. Yes, the Company proposes to decrease its FOA for losses from 1.071 to 1.064 to account for losses of 6.1 percent based on the five-year average ended 2023.

Q. Does the Panel agree with the Company proposed FOA?

A. No. Based on the Company's response to DPS-286 we recommend the FOA be updated based on the five-year average from 2020 to 2024, which results in FOA for losses of 1.061, to reflect loss percentage of 5.8 percent. Using the five-year average data ending 2024 would capture the most recent data.

Electric Billable Demand

Q. Has the Panel reviewed the Company's proposal regarding Electric Billable Demand?

A. Yes. As discussed in the Company's initial Electric Rate Panel testimony, page 32, lines 10-15, it proposes to change its billable demand for SC 1 Rate IV and V as well as for Rider Z – SC 1 Innovative Pricing Pilot from 60-minutes load measurement on a rolling basis from 15-

minutes interval reading to a clock hours basis based on the sum of four 15-minutes interval load reading within the period that ends in a clock hour.

Q. Why is the Company proposing to change from the current billable demand calculation to a clock hour basis.

A. In the Company's Electric Rate Panel initial testimony, page 32, lines 18 to 22 and page 33, lines 1 to 9, the Company claims its proposal would improve customer understanding of demand rates, which can lead to better behavioral responses to demand rates and reduce the volatility of demand measurements for SC 1 Rates IV and V as well as Rider Z custom on demand rates.

Q. When does the Company propose to implement its billable demand clock hour proposal?

A. On page 33 of the Electric Rate Panel initial testimony, line 18-21, the Company proposes to implement its clock hour billable demand on January 1, 2027, to allow time to incorporate the new calculation into its billing system.

Q. Does the Panel have any thoughts on this

proposal, even though it takes place outside of the Rate Year?

A. Yes. In response to DPS-684 the Company states that it does not currently have SC 1 Rate V customers, but it sampled 296 SC 1 Rate IV customers and 1,168 Rider Z customers. The Company elaborates further that about 60 percent of SC 1 Rate IV customers are estimated to have their bills increase by an estimated average increase of 0.8 percent, 58 percent of Rider Z customers are estimated to have their bills increase by an estimated average increase of 0.5 percent, and the maximum bill increase for each service class is estimated to be less than 2 percent.

Q. How does the Company justify its proposal considering the estimated bill increases it identified from the study.

A. In its response to DPS-1013 the Company states that clock hour billable demand is designed to recover the same level of revenues as rates based on rolling billable demand. The response also states that there are customers that are expected to have a decreased or an increased

bill, based on their unique usage characteristics. The response further states that the Company anticipates that if customers have a better understanding of how billable demand is determined, the customers should understand more how to avoid high bills. Notwithstanding the Company's rationale for its proposal, we are concerned that there is a potential for the bill impacts to be different than what the Company presents in DPS-684, which could adversely impact customers if a multiyear rate plan is established in this proceeding. Therefore, to determine the exact impacts on customers' bills we believe that further bill impact analysis needs to be done using rates that more closely align with the Company's proposed January 1, 2027 implementation date.

Q. Does this conclude the Panel's testimony at this time?

A. Yes.